

FEDERAL MARITIME COMMISSION

CROCUS INVESTMENTS, LLC &
CROCUS, FZE

Complainants,

v.

MARINE TRANSPORT LOGISTICS,
INC. AND ALEKSANDR
SOLOVYEV A/K/A ROYAL
FINANCE GROUP, INC,

Respondents.

Docket No. 15-04

Served: March 6, 2017

BY THE COMMISSION: Michael A. KHOURI, *Acting Chairman*; Mario CORDERO, Rebecca F. DYE, William P. DOYLE, and Daniel B. MAFFEI, *Commissioners*.

Memorandum Opinion and Order

I. INTRODUCTION

On June 17, 2016, the Administrative Law Judge (ALJ) dismissed Crocus Investments' and Crocus FZE's (Crocus or Complainants) claims that Respondents violated 46 U.S.C. §§ 40901(a) and 41102(c) in storing and transporting three boats. Complainants petitioned the Federal Maritime Commission (Commission) to reopen and remand the proceedings under

Commission Rule 230, 46 C.F.R. § 502.230, and for leave to reply to Respondents' opposition to their petition. Complainants also request additional time to file exceptions.

For the reasons discussed below, the Commission is denying Complainants' motion for leave to reply because they have not demonstrated any "extraordinary circumstance" which warrants a reply to Respondents' opposition. The Commission is also denying Complainants' petition to reopen and remand the proceeding because the law and the facts have not materially changed since the ALJ's decision and the evidence was available to Complainants before the ALJ held closing arguments. Finally, Commission is granting Complainants an additional seven days from the date of the Commission's decision to file exceptions.

II. BACKGROUND

A. Factual History

Crocus is in the business of purchasing boats and automobiles from online auction sites for the purpose of refurbishing and reselling them on the international market. Initial Decision at 2-4. Until recently, Crocus's owner, Alexander Safonov, worked with Aleksandr Solovyev, and various enterprises owned or represented by Mr. Solovyev to select, purchase and finance the boats and arrange for storage or transportation pending resale. *Id.* at 2-4. The parties' dealings involved several related companies. *See id.* Financing was arranged through Royal Finance Group, Inc. (Royal Finance). *Id.* Storage was handled by World Express Connection, Inc. (World Express),¹ and domestic and

¹Although the boats were stored at its facility, World Express is not named as a party. Initial Decision at 2. Two other corporations involved in the parties' dealings are also mentioned in the filings but are not joined as parties. *See id.* Middle East Asia Alfa, FZE, owned by Mr. Safonov, was involved in his transport/resale dealings. *Id.* at 2. Car Express & Import, Inc. (Car Express), also owned by Mr. Safonov, purchased automobiles and boats on behalf of buyers and arranged for transport abroad. *Id.* at 3.

international transport were arranged through Marine Transport Logistics (Marine Transport). *Id.* Marine Transport is a non-vessel-operating common carrier (NVOCC) licensed by the Commission (License No. 01809) and is owned by Alla Solovyeva, Mr. Solovyev's estranged wife. *Id.* Dealings between Mr. Safonov and Mr. Solovyev were often conducted informally and they did not always specify which company they were representing. *Id.* at 3.

This action involves a dispute over the storage and transport of three boats (a Monterey, Chaparral and Formula), in 2013 and 2014. *Id.* at 3-6. Crocus purchased the boats in 2013 and used Marine Transport to ship the Monterey and Chaparral to facilities in Dubai, United Arab Emirates, with intentions of refurbishing and reselling them there. *Id.* Resale efforts were not successful, and Crocus arranged for the boats to be transported back to the United States. *Id.* at 6. Crocus retained a different carrier for the return transport but designated Marine Transport as the consignee. *Id.* The Monterey and the Chaparral arrived back in New Jersey in July 2014, and Marine Transport accepted delivery at Maher Terminal. *Id.* at 6. Marine Transport arranged for the boats to be stored at a World Express facility, where they remained through August 2014 when a dispute arose between Mr. Safonov and Mr. Solovyev over amounts billed by Marine Transport. *Id.* at 6-7, 16. The billing dispute eventually led to World Express filing a federal district court action against Crocus Investments in November 2015 to recover the boat storage fees. *World Express & Connection, Inc. v. Crocus Investments, LLC*, No. 2:15-CV-08126 (D.N.J.).

Crocus's third boat (the Formula) was never transported outside the United States. Mr. Safonov traded inquiries with Mr. Solovyev about transporting the Formula to Dubai as well, but the arrangements were never formalized or carried out. Initial Decision at 3-5, 17-18. Crocus stored the Formula at World Express's New Jersey facility. *Id.* at 18.

B. Procedural History

Crocus filed this action in May 2015 seeking \$416,739 in reparations for Respondents' alleged violations of the Shipping Act of 1984 (Shipping Act or Act) in storing and transporting the three boats. Compl. ¶¶ 28-31, May 27, 2015. Crocus alleged that Mr. Solovyev, doing business as Royal Finance, violated 46 U.S.C. § 40901(a) (section 19(a) of the Act) by billing and collecting payments for transport services provided by Marine Transport because he was acting as an unlicensed ocean transportation intermediary (OTI). *Id.* Crocus also alleged that Marine Transport violated 46 U.S.C. § 41102(c) (section 10(d)(1) of the Act) by: (1) failing to notify it of the boats' arrival in New Jersey; and (2) releasing the boats to a third party (World Express) without Crocus's consent. *Id.*

After discovery, the parties submitted proposed findings in early 2016. *See* Initial Decision at 10. On March 3, 2016, the ALJ ordered both parties to submit English translations of supporting documents. *Id.* at 7. On April 12, 2016, the ALJ directed the parties to supplement the record with all documents related to transporting the Monterey and Chaparral back to the United States. *Id.* The ALJ heard closing arguments on May 13, 2016. *See* Order to Appear by Telephone for May 13, 2013, Closing Argument, May 5, 2016.

The ALJ issued the Initial Decision on June 17, 2016 and dismissed the complaint with prejudice. Initial Decision at 19-25. In dismissing the § 40901(a) claim, the ALJ found that Mr. Solovyev: (1) acted as Marine Transport's agent in arranging for and collecting payment for ocean transport; and (2) as such, was not required to be licensed as a NVOCC. *Id.* at 19-21. In particular, the ALJ stated: "Because Solovyev made it known that he was acting as an agent for the disclosed NVOCC principal [Marine Transport], Solovyev did not hold himself or [Royal Finance] out to the public to provide transportation and did not assume responsibility for Complainants' boats." *Id.* at 21.

In dismissing the § 41102(c) claim, the ALJ found that: (1) Mr. Safonov knew the boats had arrived in New Jersey because he stated that information in an email to Mr. Solovyev; (2) storage at the New Jersey facility was contemplated by Marine Transport's tariff; (3) Respondents were not the common carrier for the transport from Dubai back to the United States and even if they were, international transportation ended when the boats arrived in New Jersey; and (4) any proposed agreement between the parties to transport the boats from New Jersey to Florida did not involve providing transportation by water between the United States and a foreign country and thus was not covered by the Shipping Act. *Id.* at 23-25.

Exceptions to the Initial Decision were due on July 12, 2016, but the Commission granted Complainants an additional 60 days, thereby extending the deadline to September 12, 2016. *See* Notice of Extension (July 6, 2016). In July 2016, the Commission also granted Complainants' counsel, Ms. Louiza Tarassova, leave to withdraw from the case. *See* Motion for Leave to Withdraw, June 29, 2016. Complainants are now represented by Marcus A. Nussbaum. Five days before the September 12, 2016 deadline for exceptions, Complainants again moved to extend the deadline to February 12, 2017. Respondents opposed that request. The Commission granted the request, in part, extending the deadline for exceptions by 45 days to October 27, 2016. Notice of Extension of Time to File Exceptions, Sept. 8, 2016.

On October 27, 2016, Complainants petitioned to reopen the proceedings to submit further evidence, requested a remand to the ALJ and moved for an additional 20 days to file exceptions if their Rule 230 petition is denied. Complainants' Pet. to Reopen the Proceedings (Petition), 4-8, Oct. 28, 2016. That same date, Complainants also filed additional proposed findings and submitted the evidence they propose the ALJ or the Commission consider. Complainants' Additional Proposed Findings of Fact and Br. (Proposed Findings), Oct. 28, 2016. Respondents filed their opposition to the petition to reopen on November 7, 2016.

Respondents' Reply to Complainants' Pet. to Reopen Proceedings (Opposition), 2-11, Nov. 7, 2016. On December 5, 2016, Complainants moved for leave to reply to Respondents' opposition brief, and Respondents filed their opposition to that request seven days later.

C. Other Legal Proceedings Involving the Parties

The parties are involved in other legal proceedings which they reference in their filings. See Proposed Findings at 2-7. Two proceedings involve claims brought by MAVL Capital, Inc. (MAVL) against Marine Transport, and MAVL is represented in both actions by Mr. Nussbaum, Complainants' current counsel in this is action. MAVL transports automobiles from the United States to Europe. *MAVL Capital, Inc. v. Marine Trans. Logistics, Inc.* 130 F. Supp. 3d 726, 728-33 (E.D.N.Y. 2015).

In an action filed before the Commission, *MAVL Capital, Inc. v. Marine Transport Logistics, Inc. (MAVL Capital-FMC)*, FMC Docket No. 16-16, MAVL alleges that Marine Transport violated the Shipping Act in connection with vehicles stored at Marine Transport's New Jersey warehouse.² On January 17, 2017, the ALJ issued an Initial Decision dismissing with prejudice certain claims that are unrelated to ocean transport and outside the Shipping Act's jurisdiction. *MAVL Capital-FMC*, Docket No. 16-16, at 3, 13-27 (ALJ Jan. 17, 2017).

In *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, (*MAVL Capital-EDNY*), No. 13-7110 (E.D.N.Y.), MAVL alleges that Marine Transport violated New Jersey law, the Shipping Act, and the Racketeer Influenced and Corrupt Organizations Act

²Complainants state that there are also pending claims in this action based on the storage and transport of two automobiles (a Porsche and Mercedes), but that is not accurate. See Initial Decision at 19. Claims involving the handling of a Porsche and Mercedes are asserted in *MAVL Capital-FMC*, but there are no claims involving automobiles in this action. See *id.*

(RICO), 18 U.S.C. § 1961 *et seq.* by unlawfully holding automobiles belonging to MAVL or its customers. The court has dismissed the RICO and Shipping Act claims on jurisdictional grounds and directed MAVL Capital to show cause why the state law claims should not be dismissed as well. *MAVL Capital*, 130 F. Supp. 3d at 728-33.

III. DISCUSSION

A. Motion for Leave to Reply

Complainants move for leave to reply to Respondents' opposition to their Rule 230 petition. Complainants' Mot. for Leave to File Reply to Pet. to Reopen the Proceedings (Mot. For Leave), Dec. 5, 2016. Under Commission Rule 71, parties need to demonstrate "extraordinary circumstances" to justify filing a reply to a non-dispositive motion. It provides that:

The moving party may not file a reply to a response to a non-dispositive motion unless requested by the Commission or presiding officer, or upon a showing of extraordinary circumstances.

46 C.F.R. § 502.71. Complainants argue that extraordinary circumstances exist here because Respondents have made unfounded accusations against Complainants' counsel and made conflicting representations in different legal forums. Mot. for Leave at 1-7. They also assert that a reply is warranted because Respondents are wrong on the merits in opposing Complainants' petition to reopen. *Id.* at 2-4. None of the reasons Complainants assert constitute extraordinary circumstances that warrant a reply brief. Complainants simply disagree with Respondents' arguments on the merits and seek to have the last word. Also, Complainants' Rule 230 petition addresses the legal points they request leave to argue in their reply. See Pet. at 5-8. For all of these reasons, we deny Complainants leave to file a reply to Respondents' opposition.

B. Petition to Reopen Proceedings

The Commission has “clear authority” under Rule 230 “to reopen a proceeding for the purpose of taking additional evidence” and broad discretion in exercising that authority. *Anderson Int’l Transp. -- Possible Violations of Sections 8(a) & 19 of the Shipping Act of 1984*, 31 S.R.R. 1091, 1093 (FMC 2009); 46 C.F.R. § 502.230(d). The moving party must explain “the grounds [that] require[e] reopening the proceeding, including material changes of fact or of law alleged to have occurred since the conclusion of the hearing.” 46 C.F.R. § 502.230(a).³ Submitting evidence that was previously available to the moving party is not adequate grounds for reopening the proceedings. *See Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, 29 S.R.R. 119, 159-60 (FMC 2001).

Complainants do not address Rule 230’s requirements per se and do not allege any material change in the law or the facts. *See* Pet. at 5-8. They focus instead on general principles of fairness, the

³Complainants rely on Fed. R. Civ. P. 60 as the governing standard. Pet. at 6-7. Where, as here, the Commission rules are clear, there is no need to look to other authority for guidance or the governing standard. *Cf.* 46 C.F.R. § 502.12 (requiring Commission to follow Federal Rules of Civil Procedure “for situations which are not covered by a specific Commission rule”). And even if there were a reason to consider other authority, it is not at all clear that Fed. R. Civ. P. 60(b) offers apt guidance. It sets out the criteria for altering or amending a final judgment, and that is not the relief Complainants seek here. *See id*; *see also* Pet. at 4-8. And finally, even if the Commission applied Rule 60’s criteria to Complainants’ petition, they would not be entitled to relief. Rule 60 authorizes courts to alter or amend a final judgment or order that it determines was the result of “mistake, inadvertence, surprise, or excusable neglect.” Fed. R. Civ. P. 60(b)(1). As discussed in Section III below, Complainants have not shown that their failure to submit previously available evidence was the result of mistake, inadvertence or excusable neglect. Complainants’ recitation of a conversation between Ms. Tarassova and Mr. Nussbaum plainly suggests that the proffered evidence was available to Complainants or their counsel by April 13, 2016, yet they made no attempt to submit it despite the ALJ’s April 12, 2016 order which suggested that the record was still open for supplementation. *See* Order dated April 12, 2016.

agency's interest in deciding matters on a complete record, and the alleged import of statements made by or about Respondents in other legal proceedings. *Id.* at 10; *see also* Proposed Findings at 2-8. Those statements, Complainants contend, undermine Respondents' credibility and show that they were duplicitous in their dealings over the three boats. *Id.* Respondents refute Complainants' assertions and contend that the proffered evidence: (1) is not "new" and was available to Complainants well before the record closed; (2) is offered in support of a claim that Complainants have not alleged; and (3) is immaterial in any event because it will not change the outcome. *Opposition* at 2-11.

1. Complainants' proffered evidence is not new.

The evidence that Complainants proffer consists of information derived from various pleadings filed in *MAVL Capital-EDNY*, various websites, and other sources. *See* Proposed Findings at 2-8. Much of the proffered evidence does not have an obvious connection to the claims asserted in this action, but relates to other cargo that Complainants allegedly shipped or stored using Marine Transport or other companies. *See id.* Some of the proffered evidence relates to the Mercedes and Porsche allegedly stored in Dubai. *Id.* at 2-3. There are no claims in this action relating to the two automobiles. *See* Initial Decision at 19. Other proffered evidence relates to different cargo (e.g., Four Winns⁴ and Sea Ray boats) that is also not at issue in this action. Proposed Findings at 3-4; *see also* Initial Decision (description of the claims does not refer to these vessels). The evidence also relates to entities or individuals who are not named as parties in this action, e.g., World Express and Middle East Asia FZE, and Vadim Alper.⁵ *Opposition* at 2-9.

⁴ Complainants' Proposed Findings refer to a "Four Winds" boat, which we interpret as a typographical error because we are not aware of boat manufacturer by that name. *See* Proposed Findings at 3. We presume that Complainants meant to refer to a "Four Winns" boat because there is a manufacturer by that name.

⁵ Complainants assert that Mr. Alper notarized documents which refer to Mr. Solovyev as "General Manager" of Marine Transport. Proposed Findings at 8-9.

It is a well settled principle of federal litigation that parties cannot withhold “known facts helpful to [their] cause” and later rely on them as justification for reversing an unfavorable outcome. *Munoz v. Bd. of Tr. of the Univ. of the Dist. of Columbia*, 730 F. Supp. 2d 62, 65 (D.D.C. 2010). In keeping with that principle, the Commission has denied petitions to reopen for the purpose of submitting previously available evidence. *Rose Int’l*, 29 S.R.R. at 159-60 (request to reopen the record “must fail” where evidence was available before discovery closed and movant failed to explain any material changes of fact or law); cf. *Anderson Int’l*, 31 S.R.R. at 1093 (movant’s failure to uncover sooner the proffered evidence about respondent’s bankruptcy proceedings not cause for denying petition to reopen the record). While the current version of Rule 230 does not require a “showing that the additional evidence was unavailable at the time of the prior hearing,” see *id.*,⁶ whether the proffered evidence was previously available is still a consideration. See, e.g. *Rose Int’l, Inc.*, 29 S.R.R. at 159-60.

It is undisputed that the proffered evidence was previously available to Complainants or had at least been brought to their attention before the ALJ held closing arguments.⁷ See Pet. at 3-4. Complainants state that the pertinent information was relayed to their then attorney (Ms. Tarassova) on April 13, 2016, by Mr. Nussbaum. *Id.* As noted in Section II, Complainants later substituted Mr. Nussbaum for Ms. Tarassova. *Id.* According to Complainants’ chronology of events, their counsel knew about the evidence by April 13, 2016. *Id.* That allowed ample opportunity

⁶ 46 C.F.R. § 502.230. That requirement was omitted when Rule 230 was revised in 1967. *Anderson Int’l*, 31 S.R.R. at 1093.

⁷Complainants suggest that the evidence is “new” because it was revealed to them after they filed proposed findings in January 2016 (Pet. at 2, 5 n.4), but that is not the relevant date. As discussed above in Sections II and III, the ALJ directed the parties to supplement the record in April 2016 and Complainants could have proffered the evidence then.

for them to move for its admission before the ALJ heard closing arguments or issued his Initial Decision. *Id.* Closing arguments were not held until May 13, 2016 (Order dated May 5, 2016), and the ALJ was still accepting additional evidence in April 2016. Just one day prior to the Nussbaum/Tarassova discussion, the ALJ directed the parties to supplement the record by April 22, 2016, with “all documents related to the transportation of the 2008 Chaparral and the 2011 Monterey from Dubai to the United States.” Order dated April 12, 2016. That order suggests that the ALJ considered the record still open to supplementation, and Complainants could have reasonably asserted the April 13th Nussbaum/Tarassova discussion as grounds for allowing them to submit information acquired through Mr. Nussbaum. *See id.* But they did not avail themselves of that opportunity⁸ and instead waited four months after the ALJ’s Initial Decision to petition the Commission for an opportunity to submit this evidence. *See Pet.* at 4-8.

Complainants argue that Ms. Tarassova’s lack of maritime law experience excuses their inaction. *Id.* at 6. They assert that Ms. Tarassova failed to recognize the proffered evidence’s relevance because she does not have a wealth of maritime experience. *Id.* That assertion fails for several reasons. Legally, counsel’s inexperience is not grounds for reopening the proceedings. It is certainly not among the grounds specified in Commission Rule 230. 46 C.F.R. § 502.230. And as a general legal principle, parties cannot use their counsel’s alleged mistakes or inexperience to gain a second opportunity to prove or defend the claims. *See Munoz*, 730 F. Supp. 2d at 68 (plaintiff not entitled to relief under Fed. R. Civ. P. 60 based on alleged factual mistakes made by her or her counsel); *Howard v. Gutierrez*, 503 F. Supp. 2d 392, 396 (D.D.C. 2007) (attorney’s alleged mistake is not grounds for reconsideration under Fed. R. Civ. P. 59(e)); *Redmon v. United States Capitol Police*, No. 13-CF-1323, 2015 U.S. Dist. Lexis 100179, *4 (D.D.C. July 31, 2015).

⁸Complainants did not submit additional evidentiary documents in response to the April 12, 2016 order and instead referenced previous submissions and filed a declaration from Mr. Safonov. *See Complainants’ Response to Supplement the Record*, Apr. 22, 2016.

Further, it is not at all clear that maritime experience was necessary to recognize the proffered evidence's alleged relevance. See Proposed Findings at 7-34. Complainants assert that the proffered evidence undermines Respondents' credibility and shows that they did not follow consistent practices in issuing invoices or identifying the responsible or acting party. *Id.* at 7-10. Those are general legal issues that do not require special expertise in maritime law. For example, agency relationships related to Shipping Act claims are decided under common law. *Landstar Express America, Inc. v. Fed. Mar. Comm'n*, 569 F.3d 493, 499 (D.C. Cir. 2009) (applying "common law agency principles" and Restatement (Third) of Agency). Thus even if the law recognized counsel's inexperience as grounds for reopening the record, Complainants have not shown any connection here between Ms. Tarassova's experience, or alleged lack thereof, and their failure to offer the evidence before the ALJ held closing arguments. Complainants' failure to show that the evidence proffered is new and not just an attempt to reargue claims they lost before the ALJ is, by itself, justification for denying the petition to reopen. See, e.g., *Rose Int'l*, 29 S.R.R. at 159-60.

2. Complainants' proffered evidence is not material.

Even if Complainants were offering evidence that was not previously available, they still have to demonstrate that this "new evidence" relates to "material changes of fact." 46 C.F.R. § 502.230. Evidence is material only if there is a reasonable probability that it will change the outcome. *Green Master Int'l Freight Serv. Ltd. - Possible Violations of Section 10(a)(1) and 10(b)(1) of the Shipping Act of 1984*, 29 S.R.R. 1303, 1318 (FMC 2003) ("material facts" are facts that might "affect the outcome" under "governing law") (citing *Gonzalez v. Torres*, 915 F. Supp. 511, 515 (D.P.R. 1996)). Complainants do not clearly identify how the new evidence may impact the ALJ's findings but assert generally that it will show that Mr. Solovyev did not act merely as Marine

Transport's agent and that the parties "intended" to transport the Formula abroad. Pet. at 4-9.

With respect to the agency issue, Complainants argue that the new evidence will establish that Mr. Solovyev was "intimately involved" in Marine Transport's dealings and represented himself as its general manager. Proposed Findings at 7-8, *see also* Pet. at 4-5. Complainants also assert that Mr. Solovyev and his spouse, "were each principal and part owner" of Marine Transport. Proposed Findings at 7. Even if those assertions are true, they do not establish that Mr. Solovyev acted as an unlicensed NVOCC as Complainants allege. The ALJ found that Mr. Solovyev disclosed that he was acting on behalf of Marine Transport, which is a licensed NVOCC, and that he did not represent otherwise to the general public or hold himself out as individually providing ocean transportation services. Initial Decision at 21. Those findings are supported by the evidence, which includes email correspondence between Mr. Safonov and Mr. Solovyev. *Id.*

The law is clear on the responsibilities of agents acting on behalf of a licensed OTI. Agents of NVOCCs do not need a license to act on behalf of their principal. *Landstar Express*, 569 F.3d at 498-99; *see also* Restatement (Second) of Agency, §§ 1 and 4 (defining agency and disclosed principal). So long as the agent discloses that he is acting on the NVOCC's behalf and does not hold himself out as individually providing ocean transport or related services, the agent does not require a license. *Id.* Further, as the ALJ correctly found, corporations can only act through individuals, so the fact that Mr. Solovyev communicated for and made representations on Marine Transport's behalf does not show that he was acting as an unlicensed NVOCC. *See* Initial Decision at 19. Thus, even if the proffered evidence establishes the facts that Complainants allege, that still is not sufficient to prove that Mr. Solovyev held himself out as individually providing ocean transport services and was not acting as Marine Transport's agent.

As to Complainants' claims regarding intended transport of the Formula, they argue that the proffered evidence will show that it was "placed into the custody and control of Solovyev/MTL *solely* for purposes of export." Proposed Findings at 10 (emphasis original); *see also* Pet. at 9-10. What they fail to show, however, is that the parties actually entered into a contract to transport the Formula to Dubai or any other foreign destination. The Shipping Act applies only to cargo the parties contract to transport over water to a foreign country. 46 U.S.C. § 40101; *see generally Landstar*, 569 F.3d at 496 (Shipping Act jurisdiction cannot be extended beyond its plain language). It is undisputed that the Formula never left the United States. Initial Decision at 24-27. And while Complainants assert that the parties *intended* to transport the Formula to Dubai, they have not identified evidence proving the parties actually had a contract to that effect. *See* Proposed Findings, 2-8. Pet. at 9-10. Proof of a contract requires evidence showing that an offer was extended and accepted and that consideration changed hands. *See Vinmar Inc. v. China Ocean Shipping Co.*, 26 S.R.R. 420, 423 (FMC 1992) (citing contract law). Complainants have not identified evidence proving those required elements were met.⁹ *See* Proposed Findings at 2-8, 19-20; Pet. at 9-10. And absent evidence that the parties entered into a contract to transport the Formula abroad, Complainants do not have a Shipping Act claim for alleged overcharges or mishandling of the Formula.

Because the proffered evidence is unlikely to change the outcome, it is not material. *Green Master*, 29 S.R.R. at 1319 (proffered evidence merely reiterating prior assertions was not justification for reopening the proceedings). While it is true, as Complainants assert,¹⁰ that Commission precedent favors deciding

⁹ Complainants assert that the evidence shows that Marine Transport billed them for "shipping documentation" and a boat trailer for the Formula (Proposed Findings at 22-23). Even if those allegations are true, they do not prove that the parties had a contract to transport the Formula abroad. *See Vinmar*, 26 S.R.R. at 423.

¹⁰ *See* Pet. at 5-8; Proposed Findings at 7-8.

cases based on “the most complete record available,” *Hudson Shipping Ltd. -- Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, 29 S.R.R. 1376 (ALJ 2002), that principle applies to relevant and material evidence. Where, as here, proffered evidence will not change the outcome, it need not be considered. *See generally Michigan Consolidated Gas Co. v. Federal Power Comm’n*, 283 F.2d 204, 226 (D.C. Cir. 1960) (all “relevant facts” should be considered).

Complainants have not shown any material change in the law or the facts or any other justification for reopening the record. We therefore deny the petition to reopen the proceedings. *Cf. Anderson Int’l*, 31 S.R.R. at 1093 (Commission reopened the record to allow “directly relevant and material” evidence).

C. Request to Remand to the Administrative Law Judge

In moving to reopen the proceedings, Complainants also request a remand to the ALJ so that he might reconsider the dismissal based on the newly proffered evidence. Pet. at 1, 5. In the alternative, they request that the Commission consider the newly proffered evidence. *Id.* Because we are denying the petition to reopen the proceedings, there is no new evidence for the ALJ to consider and on that basis, we deny the request for remand. As a further consideration, Complainants have an opportunity to argue the legal points raised in support of their remand request (*See* Pet. at 9-10) by filing exceptions to the Initial Decision.

D. Motions to Extend the Deadline for Filing Exceptions.

Finally, Complainants seek additional time to file exceptions to the Initial Decision. This is Complainants’ third request. Commission Rule 227 grants parties 22 days to file exceptions to an initial decision. 46 C.F.R. § 502.227. In this case, the original July 12, 2016 deadline was extended to September 12, 2016 at Complainants’ request. The September 2016 deadline was then extended to October 27, 2016, again at Complainants’ request.

Complainants now seek an additional 20 days *after* the Commission rules on their Rule 230 petition. *See* Pet. at 10-11. As justification for extending the deadline a third time, Complainants assert that the Commission's decision on the Petition may affect their exceptions. Respondents oppose the current extension request and claim that the Petition is an attempt by Complainants' counsel to unnecessarily delay the proceeding. *See* Opposition at 1-3.

Respondents' points are well taken. Complainants' counsel has been filing motions in this action since September 2016 and over the past several months has filed a petition and proposed additional findings that discuss in some detail the ALJ's findings and the evidence, including detailed supplemental proposed findings. *See* Pet. at 2-8; Proposed Findings. Given counsel's apparent familiarity with the Initial Decision and the evidence and that Complainants have had the benefit of two prior extensions, we are denying the request to extend the filing deadline by 20 days from the date of this order and instead providing Complainants seven days in which to file exceptions to the Initial Decision.

THEREFORE, IT IS ORDERED THAT:

- (1) Complainants' motion for leave to file a reply to Respondents' opposition to the petition to reopen the proceedings is denied;
- (2) Complainants' petition to reopen the proceedings for the purpose of submitting further evidence is denied; and

(3) Complainants' request to further extend the deadline for exceptions is granted in part, and

(4) Exceptions to the Initial Decision are due March 13, 2017.

By the Commission.

Rachel E. Dickon
Assistant Secretary